

1.

2.14

$$\begin{aligned}
 \int_0^{\infty} (1 - F_X(x)) dx &= \int_0^{\infty} P(X > x) dx \\
 &= \int_0^{\infty} \int_x^{\infty} f_X(y) dy dx \\
 &= \int_0^{\infty} \int_0^y dx f_X(y) dy \\
 &= \int_0^{\infty} y f_X(y) dy = EX,
 \end{aligned}$$

where the last equality follows from changing the order of integration.

b.

$$\begin{aligned}
 \sum_{k=0}^{\infty} (1 - F_X(k)) &= \sum_{k=0}^{\infty} P(X > k) = \sum_{k=0}^{\infty} \sum_{x=k+1}^{\infty} f_X(x) \\
 &= \sum_{x=1}^{\infty} \sum_{k=0}^{x-1} f_X(x) = \sum_{x=1}^{\infty} \sum_{k=1}^x f_X(x) = \sum_{x=1}^{\infty} x f(x) \\
 &= 0f(x) + \sum_{x=1}^{\infty} x f(x) = \sum_{x=0}^{\infty} x f_X(x) = EX
 \end{aligned}$$

2.17 a) $\int_0^m 3x^2 dx = 1/2 = x^3 \Big|_0^m = m^3 \Rightarrow m = (1/2)^{1/3}$

b) ~~the rest~~

$\frac{1}{\pi} \int_{-\infty}^m \left(\frac{1}{1+x^2} \right) dx = \frac{1}{\pi} \int_{-\infty}^m [\tan^{-1}(x)] = \frac{1}{\pi} [\tan^{-1}(m) - -\pi/2]$

$= \frac{1}{\pi} \tan^{-1}(m) + \frac{1}{2} = \frac{1}{2} \Rightarrow \tan^{-1}(m) = 0 \Rightarrow m = 0$

2.20 From Example 1.5.4, if X = number of children until the first daughter, then

$$P(X = k) = (1 - p)^{k-1}p,$$

where p = probability of a daughter. Thus X is a geometric random variable, and

$$\begin{aligned} EX &= \sum_{k=1}^{\infty} k(1-p)^{k-1}p = p - \sum_{k=1}^{\infty} \frac{d}{dp}(1-p)^k = -p \frac{d}{dp} \left[\sum_{k=0}^{\infty} (1-p)^k - 1 \right] \\ &= -p \frac{d}{dp} \left[\frac{1}{p} - 1 \right] = \frac{1}{p}. \end{aligned}$$

Therefore, if $p = \frac{1}{2}$, the expected number of children is two.

2.24 $E(X), V(X)$

(a) $E(X) = \frac{a}{a+1}, E(X^2) = \frac{a}{a+2}$
 $V(X) = E(X^2) - (E(X))^2 = \frac{a}{a+2} - \left(\frac{a}{a+1}\right)^2 = \frac{a(a+1)^2 - a^2(a+2)}{(a+1)^2(a+2)} = \frac{a^3 + 2a^2 + a - (a^3 + 2a^2)}{(a+1)^2(a+2)} = \frac{a}{(a+1)^2(a+2)}$

(b) $E(X) = \frac{a}{a+2} - \frac{a^2}{(a+1)^2} = \frac{a(a+1)^2 - a^2(a+2)}{(a+1)^2(a+2)} = \frac{a^3 + 2a^2 + a - (a^3 + 2a^2)}{(a+1)^2(a+2)} = \frac{a}{(a+1)^2(a+2)}$

b) $f_X(x) = \frac{1}{n}, x=1, \dots, n$
 $E(X) = \frac{1}{n} \sum_{x=1}^n x = \frac{1}{n} \sum_{x=1}^n x = \frac{n+1}{2}$
 $E(X^2) = \frac{1}{n} \sum_{x=1}^n x^2 = \frac{1}{6} (n+1)(2n+1)$
 $V(X) = E(X^2) - [E(X)]^2 = \frac{1}{12} [n^2 - 1]$

c) $f_X(x) = \frac{3}{2} (x-1)^2, 0 < x < 2$
 $E(X) = 1, E(X^2) = 8/5$
 $Var(X) = E(X^2) - (E(X))^2 = 8/5 - 1 = 3/5$

5. a) the answer is $(b/\pi)^{1/2}$, which is smaller than $(b/2)^{1/2}$, the square-root of the expectation.

b) $E(X^2) > (EX)^2$ is larger by Jensen's Inequality – X^2 is a convex function.

c) $E(\log(X)) < \log(EX)$ by Jensen's inequality – Log is concave function.

6. the answer is $e^{\mu + \sigma^2/2}$. This is larger than exponentiated expectation, e^μ .

7.

$$7. (a) E[X] = \int_0^1 x f_X(x) dx = \int_0^1 2x^2 dx = \frac{2}{3} x^3 \Big|_0^1 = \boxed{\frac{2}{3}}$$

$$(b) E[X^2] = \int_0^1 x^2 f_X(x) dx = \int_0^1 2x^3 dx = \frac{2}{4} x^4 \Big|_0^1 = \boxed{\frac{1}{2}}$$

$$\text{var}(X) = \frac{1}{2} - \left(\frac{2}{3}\right)^2 = \boxed{\frac{1}{18}}$$

$$(c) E[4X+9] = 4E[X] + 9 = 4 \cdot \frac{2}{3} + 9 = \frac{8}{3} + \frac{27}{3} = \boxed{\frac{35}{3} \text{ or } 11\frac{2}{3}}$$

$$(d) E[X(1-X)] = E[X - X^2] = E[X] - E[X^2] = \frac{2}{3} - \frac{1}{2} = \boxed{\frac{1}{6}}$$

$$8. X \sim \text{Beta}(\alpha, \beta)$$

$$f_X(x) = \frac{\Gamma(\alpha+\beta)}{\Gamma(\alpha)\Gamma(\beta)} x^{\alpha-1} (1-x)^{\beta-1} \quad 0 \leq x \leq 1$$

$$\begin{aligned} E[X] &= \int_0^1 x f_X(x) dx = \int_0^1 x \cdot \frac{\Gamma(\alpha+\beta)}{\Gamma(\alpha)\Gamma(\beta)} x^{\alpha-1} (1-x)^{\beta-1} dx = \frac{\Gamma(\alpha+\beta)}{\Gamma(\alpha)\Gamma(\beta)} \cdot \frac{\Gamma(\alpha+1)\Gamma(\beta)}{\Gamma(\alpha+\beta+1)} \int_0^1 \underbrace{\frac{\Gamma(\alpha+1+\beta)}{\Gamma(\alpha+1)\Gamma(\beta)} x^{(\alpha+1)-1} (1-x)^{\beta} dx}_{\sim \text{Beta}(\alpha+1, \beta)} dx \\ &= \frac{\Gamma(\alpha+\beta)}{\Gamma(\alpha)} \cdot \frac{\Gamma(\alpha+1)}{\Gamma(\alpha+\beta+1)} = \frac{\Gamma(\alpha+\beta)}{\Gamma(\alpha)} \cdot \frac{\alpha \Gamma(\alpha)}{(\alpha+\beta)\Gamma(\alpha+\beta)} = \boxed{\frac{\alpha}{\alpha+\beta}} \end{aligned}$$

$$\begin{aligned} E[X^2] &= \int_0^1 \frac{\Gamma(\alpha+\beta)}{\Gamma(\alpha)\Gamma(\beta)} x^2 x^{\alpha-1} (1-x)^{\beta-1} dx = \frac{\Gamma(\alpha+\beta)}{\Gamma(\alpha)\Gamma(\beta)} \cdot \frac{\Gamma(\alpha+2)\Gamma(\beta)}{\Gamma(\alpha+\beta+2)} \int_0^1 \underbrace{\frac{\Gamma(\alpha+\beta+2)}{\Gamma(\alpha+2)\Gamma(\beta)} x^{(\alpha+2)-1} (1-x)^{\beta-1} dx}_{\sim \text{Beta}(\alpha+2, \beta)} dx \\ &= \frac{\Gamma(\alpha+\beta)}{\Gamma(\alpha)} \cdot \frac{\alpha(\alpha+1)\Gamma(\alpha)}{(\alpha+\beta)(\alpha+\beta+1)\Gamma(\alpha+\beta)} = \frac{\alpha(\alpha+1)}{(\alpha+\beta)(\alpha+\beta+1)} \end{aligned}$$

$$\text{var}(X) = \frac{\alpha(\alpha+1)}{(\alpha+\beta)(\alpha+\beta+1)} - \frac{\alpha^2}{(\alpha+\beta)^2} = \frac{\alpha(\alpha+1)(\alpha+\beta) - \alpha^2(\alpha+\beta+1)}{(\alpha+\beta)^2(\alpha+\beta+1)}$$

$$= \frac{\alpha^3 + \alpha^2\beta + \alpha^2 + \alpha\beta - \alpha^3 - \alpha^2\beta - \alpha^2}{(\alpha+\beta)^2(\alpha+\beta+1)} = \boxed{\frac{\alpha\beta}{(\alpha+\beta)^2(\alpha+\beta+1)}}$$

2.30 a) $E[e^{tx}] = \int_0^c e^{tx} dx = \frac{1}{t} e^{tx} \Big|_0^c$

$= \frac{e^c - 1}{tc}, t \neq 0$

$\textcircled{b} \begin{cases} 1 & t=0 \end{cases}$

b) $E(e^{tx}) = \int_0^c x e^{tx} dx = \frac{2}{c^2} \left[\frac{e^{tx} (tx-1)}{t^2} \right] \Big|_0^c$

$= \frac{2}{c^2} \left[\frac{e^{tc} (tc-1)}{t^2} - \frac{-1}{t^2} \right] = \frac{2}{c^2 t^2} [1 + e^{tc} (tc-1)]$

$t \cdot e^{tc} (tc-1) > -1$

c) $\int_{-\infty}^{\infty} \frac{1}{\sqrt{2\pi}} e^{-|x-\alpha|/\beta} e^{tx} dx$ Let $Y = \frac{X-\alpha}{\beta}$

$M_Y(t) = \frac{1}{2} \int_{-\infty}^{\infty} e^{ty} e^{-|y|} dy = \frac{1}{2} \int_{-\infty}^0 e^{ty+y} dy + \frac{1}{2} \int_0^{\infty} e^{ty-y} dy = \frac{1}{2} \left[\frac{1}{t+1} e^{(t+1)y} \right]_{-\infty}^0 + \frac{1}{2} \left[\frac{1}{t-1} e^{(t-1)y} \right]_0^{\infty}$

$= \frac{1}{2} \left[\frac{1}{t+1} (1-0) + \frac{1}{t-1} (0-1) \right] \text{ if } |t| < 1$

$= \frac{1}{2} \left[\frac{(t-1) - (t+1)}{t^2 - 1} \right] = \frac{-1}{t^2 - 1}$

$= \frac{1}{1-t^2} \cdot X = \beta Y + \alpha$ So

$M_X(t) = e^{\alpha t} M_Y(\beta t) = \frac{e^{\alpha t}}{1-\beta^2 t^2}, |t| < 1/\beta$

d) $E(e^{tx}) = \sum_{x=0}^{\infty} e^{tx} \binom{r+x-1}{x} p^r (1-p)^x$

$= p^r \sum_{x=0}^{\infty} \binom{r+x-1}{x} [e^{t(1-p)}]^x$

$= \frac{p^r}{(1-(1-p)e^t)^r} \sum_{x=0}^{\infty} \binom{r+x-1}{x} [e^{t(1-p)}]^x [1-e^{t(1-p)}]^r$

$= \left(\frac{p}{1-(1-p)e^t} \right)^r \quad t < -\log(1-p)$

2.33

$$(a) \sum_{x=0}^{\infty} e^{tx} \frac{e^{-\lambda} \lambda^x}{x!} = e^{-\lambda} \sum_{x=0}^{\infty} \frac{(e^t \lambda)^x}{x!} = e^{-\lambda} e^{\lambda e^t} = e^{\lambda(e^t - 1)}$$

$$EX = M'_x(t) \Big|_{t=0} = e^{\lambda(e^t - 1)} \cdot \lambda e^t \Big|_{t=0} = e^{\lambda(1-1)} \lambda e^0 = \lambda$$

$$EX^2 = M''_x(t) = \lambda e^t e^{\lambda(e^t - 1)} + \lambda^2 e^{2t} e^{\lambda(e^t - 1)} \Big|_{t=0} = \lambda + \lambda^2$$

$$\Rightarrow \text{Var}(X) = E(X^2) - (EX)^2 = \lambda + \lambda^2 - \lambda^2 = \lambda$$

$$(b) \sum_{x=0}^{\infty} e^{tx} p (1-p)^x = p \sum_{x=0}^{\infty} (e^t (1-p))^x = p \left(\frac{1}{1 - e^t (1-p)} \right)$$

$$EX = M'_x(t) \Big|_{t=0} = - \frac{p}{(1 - e^t (1-p))^2} \cdot (- (1-p) e^t) \Big|_{t=0} = \frac{p(1-p) e^t}{(1 - e^t (1-p))^2} \Big|_{t=0} = \frac{p(1-p)}{p^2} = \frac{(1-p)}{p}$$

$$EX^2 = M''_x(t) \Big|_{t=0} = \frac{p(1-p) e^t}{(1 - e^t (1-p))^2} + 2 \frac{p(1-p) e^t}{(1 - e^t (1-p))^3} \cdot (- (1-p) e^t) \Big|_{t=0}$$

$$= p(1-p) \left[\frac{e^t}{(1 - e^t (1-p))^2} + 2 \frac{(1-p) e^{2t}}{(1 - e^t (1-p))^3} \right] \Big|_{t=0} = p(1-p) \left[\frac{1}{p^2} + 2 \frac{(1-p)}{p^3} \right]$$

$$= \frac{(1-p)}{p} + 2 \frac{(1-p)^2}{p^2} = \frac{p(1-p) + 2(1-p)^2}{p^2}$$

$$V(X) = E(X^2) - (EX)^2 = \frac{p(1-p) + 2(1-p)^2}{p^2} - \frac{(1-p)^2}{p^2}$$

$$= \frac{p(1-p) + (1-p)^2}{p^2} = \frac{p - p^2 + 1 - 2p + p^2}{p^2} = \frac{1-p}{p}$$

$$(c) M_x(t) = E(e^{tx}) = \int_{-\infty}^{\infty} \frac{1}{\sqrt{2\pi\sigma^2}} \exp\left\{ -\frac{1}{2\sigma^2} (x^2 - 2\mu x + \mu^2 - 2\sigma^2 tx) \right\} dx \Rightarrow \text{complete square}$$

$$= \frac{1}{\sqrt{2\pi\sigma^2}} \int_{-\infty}^{\infty} \exp\left\{ -\frac{1}{2\sigma^2} (x - (\mu + \sigma^2 t))^2 \right\} dx = e^{\frac{1}{2\sigma^2} (2\mu\sigma^2 t + \sigma^4 t^2)}$$

$$= e^{\mu t + \frac{\sigma^2 t^2}{2}}$$

$$EX = M'_x(t) \Big|_{t=0} = (\mu + \sigma^2 t) e^{\mu t + \sigma^2 t^2/2} \Big|_{t=0} = \mu$$

$$EX^2 = M''_x(t) \Big|_{t=0} = (\mu + \sigma^2 t)^2 e^{\mu t + \sigma^2 t^2/2} + \sigma^2 e^{\mu t + \sigma^2 t^2/2} \Big|_{t=0} = \mu^2 + \sigma^2$$

$$\text{Var}(X) = \mu^2 + \sigma^2 - \mu^2 = \sigma^2 \quad \checkmark$$

$$\begin{aligned} \boxed{2.38} \quad (a) \quad M_x(t) &= \sum_{x=0}^{\infty} e^{tx} \binom{r+x-1}{x} p^r (1-p)^x \\ &= \frac{p^r \sum_{x=0}^{\infty} \binom{r+x-1}{x} (1-e^t(1-p))^r (e^t(1-p))^x}{(1-e^t(1-p))^r} \\ &= \frac{p^r}{(1-e^t(1-p))^r} \end{aligned}$$

$$(b) \quad Y = 2pX \Rightarrow \text{Not Markov}$$

$$M_Y(t) = M_X(2pt) = \frac{p^r}{(1-e^{2pt}(1-p))^r} = \left(\frac{p}{1-e^{2pt}(1-p)} \right)^r$$

$$\begin{aligned} \lim_{p \downarrow 0} M_Y(t) &= \lim_{p \downarrow 0} \left(\frac{p}{1-e^{2pt}(1-p)} \right)^r \\ &= \lim_{p \downarrow 0} \left(\frac{1}{1-2t(1-p)e^{2pt}} \right)^r \quad \text{by L'Hospital's rule} \\ &= \left(\frac{1}{1-2te^0} \right)^r = \left(\frac{1}{1-2t} \right)^r \quad \text{for } t < 1/2 \end{aligned}$$

12.

$$a) e^{\mu t + \sigma^2 t^2/2}$$

$$b) e^{\mu t_n + \sigma^2 t_n^2/2}$$

13.

a. The Answer is p

b.

$$M_x(t) = E(e^{tx}) = (1-p)e^{t \cdot 0} + \int_0^{\infty} p e^{-x} e^{tx} dx$$

$$= \textcircled{0} (1-p) + p \int_0^{\infty} e^{-x(1-t)} dx$$

$$= (1-p) + p \int_0^{\infty} \frac{(1-t)}{(1-t)} e^{-x(1-t)} dx$$

$$= (1-p) + \frac{p}{(1-t)} \quad \text{for } t < 1$$